

We have developed a fact sheet to help farmers understand Australia's new climate-related financial disclosures regime.

It addresses some of the key questions farmers have been asking about the disclosure regime.

Key messages include:

- The vast majority of Australian farmers will not have any direct legal obligations under the climate-related financial disclosure rules.
- Reporting entities are permitted to use industry averages or secondary data to estimate scope 3 emissions.
- In some cases, reporting entities may choose to request 'primary data' from entities in the value chain, such as farmers, to help develop estimates.
- If a farmer is asked to support scope 3 emissions reporting under the new requirements, they can note that the use of farm-level data is not mandatory. They can also ask whether the customer or supplier has considered using industry averages or secondary data.
- Companies may request farm-level data for other reasons. These may include industry certification schemes or sustainability programs that track progress against environmental, social and governance criteria.

See the fact sheet to learn more about the disclosure requirements.

Further information on sustainability reporting

This fact sheet includes general information focused on small-to-medium sized businesses. It draws on ASIC's guidance for small business.

As a small or medium business, you may also choose to obtain your own advice about the new sustainability reporting requirements and how they may impact you.

Larger businesses, and any entities captured by the mandatory climate-related financial disclosure regime, should refer to ASIC's regulatory guide.

If your business is or will be required to prepare a sustainability report, you may refer to ASIC's information for preparers of sustainability reports.

Source: <https://www.agriculture.gov.au/agriculture-land/farm-food-drought/climatechange/climate-related-financial-disclosures>